

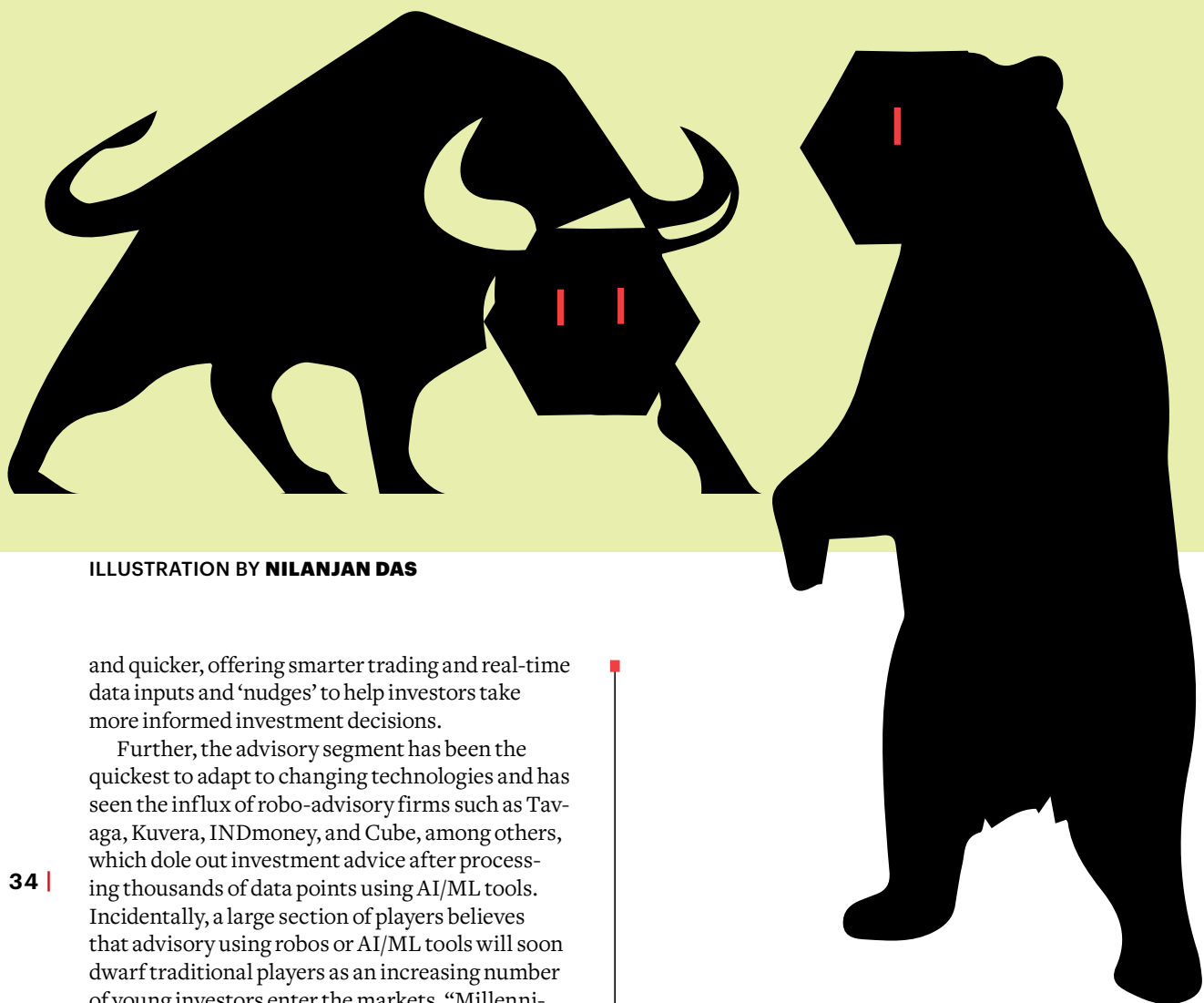


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and quicker, offering smarter trading and real-time data inputs and ‘nudges’ to help investors take more informed investment decisions.

Further, the advisory segment has been the quickest to adapt to changing technologies and has seen the influx of robo-advisory firms such as Tavaga, Kuvera, INDmoney, and Cube, among others, which dole out investment advice after processing thousands of data points using AI/ML tools. Incidentally, a large section of players believes that advisory using robos or AI/ML tools will soon dwarf traditional players as an increasing number of young investors enter the markets. “Millennials and GenZ are increasingly participating in the capital markets and this tech-savvy demographic is easily picking up new trends in the capital markets space,” says Pushpak Dagade, Founder & CEO of algo trading platform AlgoBulls.

Yet, these are quite basic in terms of AI. “Till date, algos are doing what humans are telling them to do, but going ahead they will become smarter and start thinking on their own while designing and executing strategies,” says Kunal Nandwani, Co-founder of uTrade Solutions, a company specialising in smart trading through low-latency algo platforms, and whose upcoming book *Techtopia* deals with AI and the future of humanity. Adds Anshul Sharan, Co-founder of Elever, a hybrid robo-advisory provider: “Overall, the use of AI in the Indian capital market is still in its early stages, but it is expected to grow in the coming years as firms continue to seek ways to improve efficiency, reduce costs, and make more informed investment decisions.”

According to Sharan, Asian markets like Japan, Hong Kong and Singapore have already embraced AI in a much bigger way than India, although India is fast catching up. “True AI penetration using

85%

The **share of trades carried out by algorithms** in the American equity markets

deep learning was never widespread in the Indian capital market industry. We have very few companies that have the expertise to build deep learning capabilities,” says Salil Mathur, Founder of Yobee, a platform that creates proprietary algos. Indeed, the share of algos in the US (over 80-85 per cent), coupled with the presence of complex trading systems and some of the most sophisticated hedge funds and institutional investors, makes the world’s biggest economy streets ahead of most other geographies in terms of AI penetration.

What do these markets do with AI that India doesn’t? Take sentiment analysis, for instance, where the software gathers text and linguistics—from normal documents, research reports, media statements, corporate